f. Statement Regarding Basis for Approval of Investment Advisory Contract

Currently, funds are required to provide a statement, in the annual and semi-annual reports, regarding the basis for the board's approval of the fund's investment advisory contract.[448] We are proposing to require funds to provide this information on Form N-CSR, rather than in the fund's shareholder reports.[449] This information is identical to the information currently required in fund shareholder reports.

Under current shareholder report disclosure requirements, if the board of directors approved any investment advisory contract during the fund's most recent fiscal half-year, the fund is required to discuss in reasonable detail the material factors and the conclusions with respect thereto that formed the basis for the board's approval. When the Commission adopted these requirements in 2004, it stated that the purpose of this requirement was to "encourage funds to provide a meaningful explanation of the board's basis for approving an investment advisory contract," which, in turn, the Commission hoped would encourage boards to "consider investment advisory contracts more carefully and investors to consider more carefully the costs and value of the services rendered by the fund's investment adviser."[450]

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448 *See* Item 27(d)(6) of Form N-1A.

449 *See* proposed Item 11 of Form N-CSR. We are also proposing to eliminate Item 10(a)(1)(iii) of Form N-1A which requires funds to include, in the SAI, a statement noting that a discussion regarding the basis for the board's approval of any investment advisory contract is available in the fund's annual or semi-annual report, as applicable, and providing the period covered by the relevant report.

450 *See* Disclosure Regarding Approval Of Investment Advisory Contracts By Directors Of Investment Companies, Investment Company Act Release No. 26486 (June 23, 2004) [69 FR 39798 (June 30, 2004)] ("Disclosure Regarding Approval of Advisory Contracts Release"), at text following n.23.

We continue to believe that requiring funds to provide shareholders with information regarding the board's review of investment advisory contracts preserves transparency with respect to those contracts, and fees paid for advisory services, assists investors in making informed investment decisions, and encourages fund boards to engage in vigorous and independent oversight of advisory contracts.[451] However, we preliminarily believe that this disclosure is not well suited to the fund's shareholder report because it pertains less directly to a retail shareholder's understanding of the operations and performance of the fund and does not lend itself to the type of focused disclosure that the proposed annual report is designed to include. Because of the nature and quantity of information in this disclosure, we therefore believe that it may be better suited to appear in a different location that would continue to permit access to fund shareholders and other market participants who find this information to be particularly useful and meaningful.[452] We believe that providing this information on Form N-CSR would continue to allow these persons effectively to consider the costs and value of the services that the fund's investment adviser renders.[453]

We seek comment on our proposal to require funds to disclose the basis for the board's approval of the fund's investment advisory contract on Form N-CSR rather than in the fund's shareholder reports, including the following specific issues:

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451 *See id.* at n.18.

452 *See* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 49 (noting that only 5% of investors surveyed ranked the discussion of board approvals of advisory contracts within the top three most important areas of information provided in shareholder reports).

453 Fund shareholders also would receive disclosure about the factors that form the basis for the board's approval of the advisory contract if a fund's advisory contract were to require a shareholder vote. In this case, the fund would be required to include in its proxy statement a discussion of the material factors the board considered as part of its decision to approve the fund's investment advisory contract. *See* Item 22(c)(11) of Schedule 14A.

157. Should we, as proposed, remove the information regarding the basis for the board's approval of a fund's advisory contract from shareholder reports? Should we instead amend and/or simplify this disclosure requirement and/or retain the amended disclosure in funds' annual and semi-annual reports? Would this amended disclosure be useful for retail shareholders to use to monitor and assess their ongoing investment in a fund?

158. Should we, as proposed, require funds to file the information regarding the board's approval of a fund's advisory contract on Form N-CSR? Why or why not? Do investors and other market participants currently use the information regarding the board's approval of a fund's advisory contract that appears on EDGAR as part of funds' filed shareholder reports, and if so, how?

2. Proposed Website Availability Requirements

a. Website Content Requirements

We are proposing to require a fund to post online all of the information that the proposal would newly require on Form N-CSR.[454] The fund would have to make this information available from 70 days after the end of the relevant fiscal period until 70 days following the next respective fiscal period.[455] Currently, funds are required to file reports on Form N-CSR not later than 70 days after the close of the fund's fiscal half-year.[456] Therefore,

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454 *See infra* sentence accompanying footnote 470 (under our proposal, funds would have the option to satisfy this website availability by posting online its most recent report on Form N-CSR).

455 *See* proposed rule 30e-1(b)(2)(i) (requiring a fund to disclose Items 7 through 11 of Form N-CSR on a website no later than 70 days after the end of the fiscal half-year or fiscal year of the fund until 70 days after the end of the next fiscal half-year or fiscal year of the fund, respectively).

456 While rule 30e-1(c) requires a shareholder report to be transmitted to shareholders within 60 days after the close of the relevant period, we believe it is appropriate to align the availability

our proposal would align the timing of the availability of the information provided online with when reports on Form N-CSR are filed.

In addition, we are also proposing to require a fund (other than a money market fund) to make its complete portfolio holdings, as of the close of the fund's most recent first and third fiscal quarters, available on a website.[457] A fund would have to make this information available within 70 days after the close of each such quarter.[458] A fund's portfolio holdings information for its first and third fiscal quarters would have to remain publicly accessible online for a full fiscal year.[459]

This portfolio holdings information would complement the second and fourth fiscal quarter portfolio holdings information that we also are proposing to require funds to make available on a website (as part of the proposed requirement to make their financial statements available online).[460] The proposed requirement to post first and third quarter portfolio holdings online is therefore designed to provide investors and other market participants with

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of information online with the filing of Form N-CSR, because the online information would be filed on Form N-CSR.

457 *See* proposed rule 30e-1(b)(2)(ii).

458 Under this proposed requirement, the portfolio holdings for each of the first and third fiscal quarters would be required to appear on a website no later than 70 days after the close of each of the first and third fiscal quarters, respectively. For example, a fund with a December 31 fiscal year end would be required to make its complete portfolio holdings for the first quarter ending March 31 of the next year available within 70 days after the end of the first quarter.

459 Proposed rule 30e-1(b)(2)(ii).

460 *See supra* Section II.D.1.a.

To conform the format and content of the portfolio holdings schedules for the first and third quarters to those schedules presented in the fund's financial statements for the second and fourth quarters, the proposed rule would require the schedules for the first and third quarters to be presented in accordance with §§210.12-12 through 210.12-14 of Regulation S-X, which need not be audited. *See* proposed rule 30e-1(b)(2)(ii).

easy access to a full year of complete portfolio holdings information in one location. Funds are currently required to disclose their holdings as of the end of each fiscal quarter in reports on Form N-PORT filed with the Commission (which are available on EDGAR). However, all open-end funds are not currently required to send holdings information as of the end of the first- and third-quarters to shareholders or to make that information accessible on a website other than EDGAR.[461] The proposed requirement would provide centralized access to this information, rather than requiring investors to access the fund's reports on Form N-PORT for each of those periods separately.[462] Also, we anticipate that the portfolio holdings information that funds would make available online would be available in a more user-friendly presentation than the information that funds report on N-PORT in structured data format.

We seek comment on the proposed requirements for website content that funds would have to make available under the proposals, including the following specific issues:

159. Should we, as proposed, require a fund to post online all of the information that would newly be filed on Form N-CSR?

160. How often should funds be required to update the information that appears online? For example, should we require a fund to update its online financial statement information more or less frequently than semi-annually or its online portfolio holdings information more or less frequently than quarterly? Should we instead, for example, require

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461 *But see* rule 30e-3(b)(1)(iv) (requiring funds that rely on rule 30e-3 to make holdings information as of the end of the first and third quarters available on the fund's website). Our proposal would ensure that all investors have convenient access to the most recent four quarters of portfolio holdings in a central location.

462 *See* Part F of Form N-PORT (requiring N-PORT filers to provide, as exhibits to Form N-PORT, the fund's complete portfolio holdings for the end of the first and third quarters of the fund's fiscal year, as of the close of the period, no later than 60 days after the end of the reporting period).